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Budget deficit widens further in 2025

- **The general government deficit widened to 5.2% of GDP in 2025, from 4.4% in 2024, mainly due to a fall in the revenue ratio. The debt-to-GDP ratio also climbed further, to 107.9%, compared with 103.9% in 2024.**
- **Higher defence expenditure has not yet had a major impact on the budget balance, as it largely consists of advance payments.**
- **One year before the end date of Belgium's recovery and resilience plan, 62% of the planned expenditure thereunder has been disbursed.**

On 20 April 2026, the National Accounts Institute (INR) is releasing the tables drawn up to notify Belgium's general government deficit and debt to the European Commission in accordance with the [excessive deficit procedure](#) (EDP). This notification is made twice a year, in April and October.

The EDP tables reflect the statistics on public finances made available simultaneously via [NBB.Stat](#). These statistics are compiled in accordance with the European System of Accounts (ESA 2010) and provide a preliminary estimate of revenue, expenditure, the budget balance, consolidated gross debt and the financial accounts of general government and its subsectors for 2025.

General government

General government ran a deficit of 5.2% of GDP in 2025, compared with 4.4% a year earlier. This significant deterioration was mainly due to a decline in the revenue ratio. The expenditure ratio was only marginally affected by the increase in defence spending since, as in 2025, this post mainly consisted of advance payments which will only be recorded as expenditure in the government accounts in the coming years.

Primary expenditure increased by €12.1 billion, pushing up the primary expenditure ratio by 0.1% of GDP compared to 2024, to 52.0% of GDP. Due to both high deficits and the refinancing of maturing government debt at higher rates, interest expense, in absolute terms, rose for the fourth consecutive year, after having declined for years.

Revenue grew by €6.7 billion, but the revenue ratio fell by 0.7% of GDP to 49.0% of GDP. This decline is attributable in part to a drop in corporate tax revenue, which decreased by 0.3% of GDP after having reached an exceptionally high level in 2024.

General government debt stood at 107.9% of GDP at the end of 2025. This represents an increase of four percentage points from 2024.

TABLE 1 **GENERAL GOVERNMENT EXPENDITURE, REVENUE, BUDGET BALANCE AND DEBT AS PER THE EXCESSIVE DEFICIT PROCEDURE**
(in € million, unless otherwise stated)

	2021	2022	2023	2024	2025
Total expenditure	278 018	294 746	318 051	335 100	347 956
(% of GDP)	-54.9	-52.5	-52.8	-54.1	-54.2
Primary expenditure	269 437	285,991	306 374	321 576	333 675
(% of GDP)	-53.2	-50.9	-50.9	-51.9	-52.0
of which:					
Wages	62 842	68 198	73 803	77 369	80 226
Social benefits	131 071	138 978	149 426	158 435	164 823
Gross fixed capital formation	14 017	15 330	17 180	19 367	19 947
Interest expense	8 581	8 755	11 677	13 524	14 282
(% of GDP)	-1.7	-1.6	-1.9	-2.2	-2.2
Total revenue	250 681	274 863	293 331	308 045	314 736
(% of GDP)	49.5	48.9	48.7	49.7	49.0
of which:					
Taxes and social security contributions	215 594	235 407	250 180	262 338	268 196
(% of GDP)	42.6	41.9	41.6	42.3	41.8
Budget surplus (+) / deficit (-)	-27 336	-19 883	-24 720	-27 056	-33 221
(% of GDP)	-5.4	-3.5	-4.1	-4.4	-5.2
Primary balance	-18 756	-11 128	-13 043	-13 532	-18 939
(% of GDP)	-3.7	-2.0	-2.2	-2.2	-2.9
Public debt (Maastricht definition)	550 285	580 354	617 175	644 199	692 461
(% of GDP)	108.7	103.3	102.5	103.9	107.9
For information: GDP	506 047	561 678	601 867	619 914	642 015

Source: NAI.

Government subsectors

The widening budget deficit stems mainly from developments at the federal level. The federal budget deficit rose by €7.3 billion to €24.1 billion as a result of lower-than-expected revenue. The deficits of the communities and regions improved to a limited extent but remain high. The social security funds again recorded a surplus, mainly due to higher transfers from the federal government. The budget balance of local government improved, as is usually the case in a year following local elections.

TABLE 2 BUDGET SURPLUS (+) / DEFICIT (-) OF THE GOVERNMENT SUBSECTORS AS PER THE EXCESSIVE DEFICIT PROCEDURE

	2021	2022	2023	2024	2025
	(in € million)				
Federal government (S.1311)	-20 096	-13 383	-19 680	-16 775	-24 081
Communities and regions (S.1312)	-8 583	-5 280	-6 907	-9 420	-8 948
Local government (S.1313)	-69	-496	19	-1,084	-366
Social security funds (S.1314)	1 411	-724	1 848	222	173
General government (S.13)	-27 336	-19 883	-24 720	-27 056	-33 221
	(as a % of GDP)				
Federal government (S.1311)	-4.0	-2.4	-3.3	-2.7	-3.8
Communities and regions (S.1312)	-1.7	-0.9	-1.1	-1.5	-1.4
Local government (S.1313)	0.0	-0.1	0.0	-0.2	-0.1
Social security funds (S.1314)	0.3	-0.1	0.3	0.0	0.0
General government (S.13)	-5.4	-3.5	-4.1	-4.4	-5.2

Source: NAI.

Defence expenditure

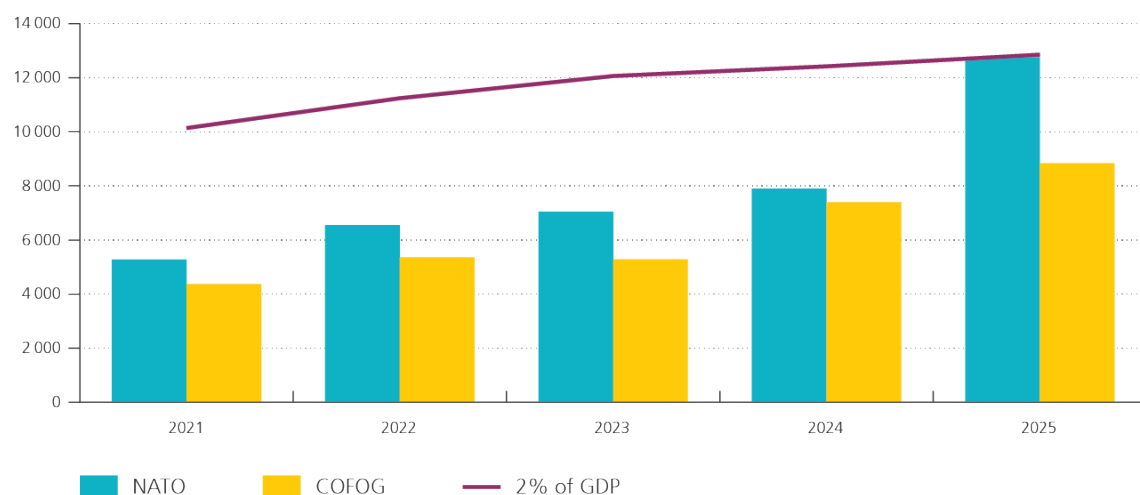
Belgium has committed to substantially increasing its defence expenditure in the coming years. Within the European fiscal framework, Member States have been granted additional budgetary flexibility for a period of four years, starting in 2025, through activation of the national escape clause. The increase in defence expenditure is calculated based on reference year 2021 and capped at 1.5% of GDP for each year the clause applies. The expenditure taken into account for this purpose is that which is recorded in the government accounts for the primary purpose, as per COFOG,¹ of defence. Total COFOG defence expenditure rose to €8.8 billion in 2025, or 1.4% of GDP, compared with €4.4 billion, or 0.9%, in 2021.

For 2025, there is a clear difference in defence expenditure as per the COFOG and NATO definitions. In the government accounts, compiled in accordance with COFOG, expenditure is recorded at the time the goods or services are delivered or provided, not at the time of payment. Under the NATO definition, on the other hand, defence expenditure is recorded at the time of payment. According to this definition, defence expenditure rose to 2% of GDP. However, for orders placed in 2025, goods valued at 0.6% of GDP have yet to be delivered, which largely explains the more limited increase in defence expenditure as per the government accounts.

¹ The National Accounts Institute (NAI) publishes statistics on government expenditure by function and transaction on an annual basis. These statistics are compiled in accordance with the Classification of the Functions of Government (COFOG), which breaks down government expenditure into 10 divisions and 69 groups, based on its main purpose. COFOG facilitates detailed comparison of expenditure by the different levels of government in Belgium.

FIGURE 1: DEFENCE EXPENDITURE AS PER THE COFOG AND NATO

(in € million)



Breakdown of the contribution to public debt

The contribution to public debt of both the federal government and the communities and regions increased sharply, in absolute terms, in 2025. This rise mainly reflects the substantial cost of servicing their deficits. However, public debt was also driven up by advance payments made in connection with orders for defence equipment placed by the federal government and the funding required to allow the Flemish Community to acquire a substantial shareholding.

The contribution of local government to public debt also increased to a limited extent. Lastly, the negative contribution of the social security funds diminished due to a decline in assets eligible for consolidation.

Over the past five years, the share of public debt attributable to the federal government and social security funds has fallen from 80.3% in 2021 to 77.6% in 2025, whilst the share of the communities and regions has risen by three percentage points to 18.4%. The share of local government fell slightly between 2021 and 2025, from 4.3% to 4%.

TABLE 3 CONTRIBUTION TO CONSOLIDATED GROSS DEBT
(in € million, unless otherwise stated)

	Share in 2021	2021	2022	2023	2024	2025	Share in 2025
Federal government (S.1311)	83.1%	457 170	475 659	505 348	521 954	553 907	80.0%
Communities and regions (S.1312)	15.4%	84 666	93 630	101 023	112 957	127 565	18.4%
Local government (S.1313)	4.3%	23,898	25,382	26,225	26 538	27 366	4.0%
Social security funds (S.1314)	-2.8%	-15 449	-14 316	-15 420	-17 249	-16 377	-2.4%
General government (S.13)	100.0%	550 285	580 354	617 175	644 199	692 461	100.0%

Source: NAI.

Budget balance

The main communities and regions again ran a deficit in 2025. However, both the Flemish Community and the Brussels-Capital Region were able to significantly reduce their deficit, whilst a marked deterioration could be observed in the Walloon Region, partly due to lower revenue. For the “interregional units and statistical adjustment” category, the budget balance sharply increased in 2024 and 2025 due to the (temporary) inclusion of revenue from the EU Emissions Trading System (EU ETS) pending political agreement on an allocation key.

TABLE 4 **BREAKDOWN OF THE BUDGET BALANCE OF THE COMMUNITIES AND REGIONS**
(in € million)

	2021	2022	2023	2024	2025
Balance as per ESA 2010					
Flemish Community	-3 026	-2 069	-2 552	-5 023	-4 132
French Community	-833	-881	-696	-1 512	-1 454
German-speaking Community	-46	-82	-135	-117	-103
Walloon Region	-3 267	-1 041	-2 036	-2 016	-2 853
Brussels-Capital Region	-1 492	-1 147	-1 520	-1 552	-963
Common Community Commission	114	-23	22	7	11
French Community Commission	-8	-2	-17	7	4
Flemish Community Commission	5	-24	14	14	-15
Interregional units and statistical adjustment	-31	-12	15	771	557
Total for the communities and regions	-8 583	-5 280	-6 907	-9 420	-8 948

Source: NAI.

Over the past four years, budget deficits have caused the debt of the communities and regions to rise by 51%, to €127.6 billion. With the exception of the community commissions, an increase in debt can be observed at all levels of government. The Brussels-Capital Region and the German-speaking Community recorded the highest increases by far, of 95% and 104%, respectively.

Looking at the debt-to-revenue ratio in a given year, significant heterogeneity is apparent between the communities and regions. For instance, in the German-speaking Community, the Walloon Region and the Brussels-Capital Region, debt is set to exceed revenue by more than twofold in 2025. In the other entities, debt is lower than revenue, with a ratio of 71% for the Flemish Community and 60% for the French Community.

TABLE 5 **CONTRIBUTION OF THE GOVERNMENT SUBSECTORS TO GROSS CONSOLIDATED PUBLIC DEBT**
(in € million, unless otherwise stated)

	Debt-to-revenue ratio in 2021	2021	2022	2023	2024	2025	Debt-to-revenue ratio in 2025
Flemish Community	51%	28 874	32 318	35 371	41 789	50 172	71%
French Community	52%	10 733	11 499	12 212	13 855	15 433	60%
German-speaking Community	137%	617	760	909	1 180	1,257	210%
Walloon Region	207%	31 444	34 236	36 161	38 254	40 820	220%
Brussels-Capital Region	160%	8 387	10 309	12 172	14 134	16 339	250%
Common Community Commission	-1%	-23	-38	9	9	8	0%
French Community Commission	31%	188	187	186	184	182	25%
Flemish Community Commission	28%	48	60	53	20	50	22%
Interregional units		4 398	4 298	3 949	3 532	3 303	
Total for the communities and regions	98%	84 666	93 630	101 023	112 957	127 565	107%

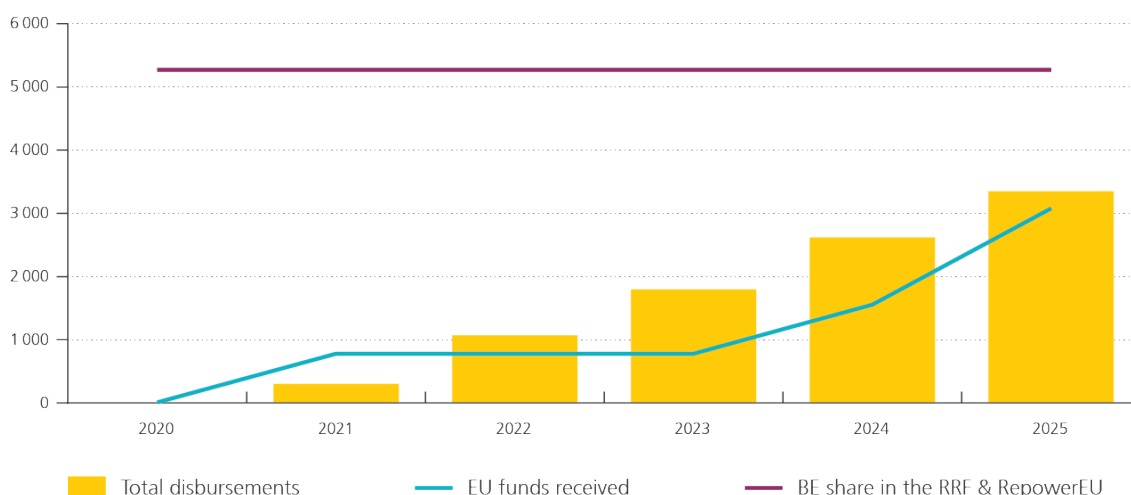
Source: NAI.

National recovery and resilience plan

In addition to statistics on public finances, the NAI also reports disbursement figures under Belgium's recovery and resilience plan, which is supported by €5.3 billion in European grants from the Recovery and Resilience Facility (RRF) and REPowerEU. This temporary recovery instrument was mainly intended to help repair the economic and social damage caused by the Covid-19 pandemic. Member States must meet all agreed milestones and targets by the end of August 2026 in order to continue to receive funds from the EC, with the final payments scheduled for the end of 2026.

At the end of 2025, €3.3 billion of the planned €5.3 billion had been disbursed, whilst the European Commission paid out nearly €3 billion over this period due to achievement of the agreed milestones.

FIGURE 2: DISBURSEMENTS UNDER BELGIUM'S RECOVERY AND RESILIENCE PLAN
(in € million)



Methodological notes

A. Publication of the EDP tables, in April and October, is consistent with the provisions of Council Regulation (EC) No 479/2009 of 25 May 2009 on the application of the Protocol on the excessive deficit procedure annexed to the Treaty establishing the European Community.

B. Three months after the close of the financial year, the NAI transmits estimates of the main public finance statistics to the European Commission. In doing so, the NAI complies in full with Regulation (EU) No 549/2013 of the European Parliament and of the Council of 21 May 2013 on the European system of national and regional accounts in the European Union, which requires Member States to provide Eurostat with data on general government revenue and expenditure. These estimates are compiled using the same concepts as those used to prepare the detailed general government accounts. The only difference is the provisional nature of some basic data. The detailed general government accounts are drawn up based on more complete information, which can lead to revision of the provisional estimates.